Apex Athletics
(Industry 1)

FACILITIES AND EQUIPMENT

Year 13

FACILITY SPACE	North America	Europe-Africa	Asia-Pacific	Latin America	Total (all facilities)
Facility Space Available in Year 12 (000s of pairs)	5,000 pairs	0 pairs	6,000 pairs	0 pairs	11,000 pairs
Completion of New/Additional Space (construction initiated in Y12)	0	0	0	0	0
Facility Space Available (to house construction equipment in Y13)	5,000 pairs	0 pairs	6,000 pairs	0 pairs	11,000 pairs
Beginning Gross Investment in Facility Space ($000s)	$ 101,500	$ 0	$ 119,500	$ 0	$ 221,000
+ Investment in Additional Facility Space (initiated in Y12)	0	0	0	0	0
+ Capital Cost for Improved Working Conditions (CSRC)	0	0	0	0	0
Gross Investment in Facility Space ($000s)	101,500	0	119,500	0	221,000
– Accumulated Depreciation (through Year 12)	24,576	0	18,326	0	42,902
– Current Year 13 Depreciation (2.5% of gross investment)	2,538	0	2,988	0	5,526
Net Investment in Facility Space ($000s)	$ 74,386	$ 0	$ 98,186	$ 0	$ 172,572
Construction Work-In-Progress (new space to be available in Y14)	0 pairs	0 pairs	0 pairs	0 pairs	0 pairs
Capital Cost of Construction Work-In-Progress ($000s)	$ 0	$ 0	$ 0	$ 0	$ 0

FOOTWEAR PRODUCTION EQUIPMENT	North America	Europe-Africa	Asia-Pacific	Latin America	Total (all facilities)
Production Equipment In-Place in Y12 (000s of pairs without OT)	4,250 pairs	0 pairs	4,250 pairs	0 pairs	8,500 pairs
Purchase of Additional Equipment (at the beginning of Year 13) — New	0	0	0	0	0
Purchase of Additional Equipment (at the beginning of Year 13) — Refurbished	0	0	0	0	0
Equipment Sold (at the beginning of Year 13)	0	0	0	0	0
Production Equipment Available in Y13 (000s of pairs w/o OT)	4,250 pairs	0 pairs	4,250 pairs	0 pairs	8,500 pairs
Percentage of New vs. Refurbished Equipment in Y13	94.0% 6.0%	0.0% 0.0%	0.0% 100.0%	0.0% 0.0%	47.0% 53.0%
Beginning Gross Investment in Equipment (000s)	$ 90,400	$ 0	$ 68,000	$ 0	$ 158,400
+ Capital Cost of New Equipment (purchased in Year 13)	0	0	0	0	0
+ Capital Cost of Refurbished Equipment (purchased in Y13)	0	0	0	0	0
+ Capital Cost of Production Improvement Options	0	0	0	0	0
+ Capital Cost of Energy Efficiency Initiatives	0	0	0	0	0
– Capital Cost of Equipment Sold	0	0	0	0	0
Gross Investment in Production Equipment	90,400	0	68,000	0	158,400
– Accumulated Depreciation (through Year 12)	65,040	0	35,600	0	100,640
– Current Year 13 Depreciation (10% of gross investment)	9,040	0	6,800	0	15,840
Net Investment in Production Equipment ($000s)	$ 16,320	$ 0	$ 25,600	$ 0	$ 41,920
Production Improvement Options — New Option Ordered in Year 13	none	none	none	none	
Production Improvement Options — Capital Cost of Option Ordered ($000s)	$ 0	$ 0	$ 0	$ 0	
Options in Place (ordered in prior year)	B	none	B	none	

Apex Athletics
(Industry 1)

Production and Workforce

Year 13

PRODUCTION STATISTICS		North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
		Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label
Footwear Production (000s of pairs)	Regular-Time Pairs	4,250	0	0	0	4,250	0	0	0	8,500	0
	Overtime Pairs	321	529	0	0	0	850	0	0	321	1,379
	Rejected Pairs	–87	–17	–0	–0	–170	–50	–0	–0	–257	–67
	Net Footwear Production	4,484	512	0	0	4,080	800	0	0	8,564	1,312
S/Q Rating of Pairs Produced		8.4★	4.6★	0.0★	0.0★	7.9★	4.6★	0.0★	0.0★		
Number of Models Produced		100	100	0	0	50	100	0	0		
		Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label
Reject Rate (% of regular + overtime pairs)		1.9%	3.3%	0.0%	0.0%	4.0%	5.9%	0.0%	0.0%	2.9%	4.9%
Cost of Rejected Pairs	$ Thousands	2,152	440	0	0	3,305	1,064	0	0	5,457	1,504
	$ Per Pair	0.48	0.86	0.00	0.00	0.81	1.33	0.00	0.00	0.67	1.18
Production Capability (000s of pairs without OT)		4,250 pairs		0 pairs		4,250 pairs		0 pairs		8,500 pairs	
Total Production (including rejected pairs)		5,100 pairs		0 pairs		5,100 pairs		0 pairs		10,200 pairs	
Utilization of Production Capability (max = 120%)		120%		0%		120%		0%		120%	

WORKFORCE STATISTICS		North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
		Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)		Total Cost ($000s)
Workforce Compensation (in Year 13)	Base Wages	34,683	28,197	0	0	12,241	14,016	0	0		42,213
	Incentive Pay	5,128	4,169	0	0	1,782	2,040	0	0		6,209
	Fringe Benefits	3,000	2,439	0	0	1,500	1,718	0	0		4,157
	Total Regular Comp.	42,811	34,805	0	0	15,523	17,774	0	0		52,579
	Overtime Pay	11,421	9,285	0	0	4,023	4,606	0	0		13,891
	Total Compensation	54,232	44,090	0	0	19,546	22,380	0	0		66,470
Best Practices Training Expenditures (in Y13)		600	488	0	0	400	458	0	0		946
Supervisory Compensation (salary + benefits)		61,206	1,224	0	0	25,503	740	0	0		1,964
Incentive Pay as % of Regular Compensation		12.0%		0.0%		11.5%		0.0%			
Cumulative Best Practices (total $ per worker)		2,400		0		1,600		0			
		Year 12	Year 13	Year 12	Year 13	Year 12	Year 13	Year 12	Year 13	Year 12	Year 13
Workforce Productivity (pairs per worker per year)		5,194	**5,228**	0	**0**	3,708	**3,711**	0	**0**		
Number of Workers Employed		818	**813**	0	**0**	1,146	**1,145**	0	**0**	1,964	**1,958**
Number of Supervisors Employed		20	**20**	0	**0**	29	**29**	0	**0**	49	**49**

BRANDED PRODUCTION COSTS	North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Materials Costs	38,470	8.58	0	0.00	38,276	9.38	0	0.00	76,746	8.96
Production Labor	38,311	8.54	0	0.00	17,774	4.36	0	0.00	56,085	6.55
Best Practices Training	437	0.10	0	0.00	382	0.09	0	0.00	819	0.10
Supervisory Costs	1,097	0.24	0	0.00	616	0.15	0	0.00	1,713	0.20
Enhanced Styling/Features	10,000	2.23	0	0.00	5,000	1.23	0	0.00	15,000	1.75
TQM/6-Sigma Program	10,970	2.45	0	0.00	8,500	2.08	0	0.00	19,470	2.27
Production Run Setup	1,000	0.22	0	0.00	500	0.12	0	0.00	1,500	0.18
Facilities Maintenance	3,104	0.69	0	0.00	3,670	0.90	0	0.00	6,774	0.79
Depreciation Expense	10,374	2.31	0	0.00	8,153	2.00	0	0.00	18,527	2.16
Total Production Costs	113,763	25.37	0	0.00	82,871	20.31	0	0.00	196,634	22.96

This section lists costs for branded production only. Private-Label production costs are listed separately in the Private-Label Operations report.

Apex Athletics
(Industry 1)

DISTRIBUTION AND WAREHOUSE

Year 13

WAREHOUSE OPERATIONS (branded)	North America			Europe-Africa			Asia-Pacific			Latin America			Total
All pair figures in thousands.	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs
Ending Inventory from Year 12	57	133	6.2★	73	135	6.2★	44	118	6.2★	39	112	6.2★	213
Inventory Clearance (at the beginning of Y13)	0			18			0			0			18
Beginning Year 13 Inventory	57	133	6.2	55	135	6.2	44	118	6.2	39	112	6.2	195
Incoming Year 13 Shipments from — North America Facility	1,823	100	8.4	1,402	100	8.4	745	100	8.4	514	100	8.4	4,484
Europe-Africa Facility	0	0	0.0	0	0	0.0	0	0	0.0	0	0	0.0	0
Asia-Pacific Facility	693	50	7.9	767	50	7.9	1,173	50	7.9	1,447	50	7.9	4,080
Latin America Facility	0	0	0.0	0	0	0.0	0	0	0.0	0	0	0.0	0
Pairs Available for Sale in Year 13	2,573	87	8.2★	2,224	84	8.2★	1,962	71	8.1★	2,000	64	8.0★	8,759
Pairs Sold — Internet Segment	501	*501*	*Actual*	430	*430*	*Actual*	394	*394*	*Actual*	288	*288*	*Actual*	1,613
Wholesale Segment	2,013	*2,253*	*Branded*	1,743	*1,913*	*Branded*	1,529	*1,712*	*Branded*	1,672	*1,725*	*Branded*	6,957
Total Branded Sales	2,514	*2,754*	*Demand*	2,173	*2,343*	*Demand*	1,923	*2,106*	*Demand*	1,960	*2,013*	*Demand*	8,570
Required Inventory (needed to achieve delivery time)	59			51			39			40			189
Inventory Surplus (Shortfall)	-240			-170			-183			-53			-646
Ending Year 13 Inventory (unsold pairs)	59	87	8.2★	51	84	8.2★	39	71	8.1★	40	64	8.0★	189

COST OF BRANDED PAIRS SOLD	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Cost of Beginning Year 13 Inventory	1,478	0.59	1,762	0.81	1,159	0.60	1,345	0.69	5,744	0.67
+ Production Cost of Incoming Pairs	60,336	24.00	51,154	23.54	42,721	22.22	42,431	21.65	196,642	22.95
± Exchange Rate Cost Adjustments	-37	-0.01	2,950	1.36	43	0.02	832	0.42	3,788	0.44
+ Freight on Incoming Pairs	3,209	1.28	4,338	2.00	2,663	1.38	3,922	2.00	14,132	1.65
+ Import Tariffs on Incoming Pairs	2,772	1.10	13,014	5.99	5,960	3.10	19,610	10.01	41,356	4.83
– Cost of Ending Year 13 Inventory	1,554	0.62	1,679	0.77	1,044	0.54	1,363	0.70	5,640	0.66
Cost of Branded Pairs Sold in Year 13	66,204	26.33	71,539	32.92	51,502	26.78	66,777	34.07	256,022	29.87

WAREHOUSE EXPENSES	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Inventory Storage Costs (on Y12 carried over)	29	0.01	42	0.02	22	0.01	20	0.01	113	0.01
Packaging & Shipping Costs — Internet	6,338	2.52	5,440	2.50	4,984	2.59	3,643	1.86	20,405	2.38
Wholesale	7,341	2.92	6,490	2.99	5,816	3.02	6,267	3.20	25,914	3.02
Warehouse Lease and Maintenance	1,000	0.40	1,000	0.46	1,000	0.52	1,000	0.51	4,000	0.47
Total Warehouse Operating Expenses	14,708	5.85	12,972	5.97	11,822	6.15	10,930	5.58	50,432	5.88

INVENTORY CLEARANCE	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Revenues from Pairs Cleared	0	0.00	803	44.61	0	0.00	0	0.00	803	44.61
± Exchange Rate Cost Adjustments	0	0.00	-46	-2.56	0	0.00	0	0.00	-46	-2.56
Net Revenues from Pairs Cleared	0	0.00	757	42.06	0	0.00	0	0.00	757	42.06
Direct Costs — Production / Freight / Tariffs	0	0.00	587	32.61	0	0.00	0	0.00	587	32.61
Inventory Storage	0	0.00	10	0.56	0	0.00	0	0.00	10	0.56
Packaging / Shipping	0	0.00	75	4.17	0	0.00	0	0.00	75	4.17
Margin Over Direct Costs	0	0.00	85	4.72	0	0.00	0	0.00	85	4.72

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MARKETING AND ADMINISTRATIVE EXPENSES

Year13

MARKETING EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Internet Segments	Search Engine Advertising	4,000	7.98	1,250	2.91	1,500	3.81	1,000	3.47	7,750	4.80
	Website Maintenance	699	1.40	684	1.59	632	1.60	606	2.10	2,621	1.62
	Brand Advertising (Note 1)	3,687	7.36	3,661	8.51	2,151	5.46	2,057	7.14	11,556	7.16
	Celebrity Endorsements (Note 2)	497	0.99	427	0.99	391	0.99	286	0.99	1,601	0.99
	Total Internet Marketing	8,883	17.73	6,022	14.00	4,674	11.86	3,949	13.71	23,528	14.59
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Wholesale Segments	Brand Advertising (Note 1)	14,813	7.36	14,839	8.51	8,349	5.46	11,943	7.14	49,944	7.18
	Rebate Redemption	2,516	1.25	2,179	1.25	1,911	1.25	2,090	1.25	8,696	1.25
	On-Time Delivery	3,020	1.50	2,615	1.50	2,294	1.50	2,508	1.50	10,437	1.50
	Retailer Support	6,980	3.47	6,776	3.89	3,418	2.24	3,476	2.08	20,650	2.97
	Celebrity Endorsements (Note 2)	1,996	0.99	1,729	0.99	1,517	0.99	1,658	0.99	6,900	0.99
	Total Wholesale Marketing	29,325	14.57	28,138	16.14	17,489	11.44	21,675	12.96	96,627	13.89

Note 1: *Brand advertising expenditures in each region are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.*

Note 2: *Expenditures for celebrity endorsements are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.*

ADMINISTRATIVE EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Executive Salaries (Note 1)		1,603	0.64	1,386	0.64	1,226	0.64	1,250	0.64	5,464	0.64
Corporate Overhead (Note 2)		3,080	1.23	2,663	1.23	2,356	1.23	2,401	1.23	10,500	1.23
CSRC Initiatives	Ethics Training / Enforcement	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Cafeteria / On-Site Child Care	176	0.07	152	0.07	135	0.07	137	0.07	600	0.07
	Ventilation / Lighting / Safety	147	0.06	127	0.06	112	0.06	114	0.06	500	0.06
	Supplier Code of Conduct	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Fixed Costs of Idled Prodcution Facility (Note 3)		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Total Administrative Expenses (Note 4)		5,006	1.99	4,328	1.99	3,829	1.99	3,902	1.99	17,064	1.99

Note 1: *Executive salaries totaled $5 million in Year 10 and increase at a rate of 3% annually.*

Note 2: *Corporate overhead expenses include $1.00 for each pair of production capability (without overtime) company-wide and $1 million for each production facility. Corporate overhead will increase or decrease as company-wide footwear production capability increases or decreases. Also, if the company holds celebrity endorsement contract(s) but sells no branded pairs (private-label sales only), then the total annual cost of celebrity contracts is assigned to corporate overhead.*

Note 3: *If no pairs are produced at a production facility in a given year, the annual maintenance and depreciation expenses (fixed costs) for the facility are treated as administrative expenses rather than allocated to the production costs at other active facilities.*

Note 4: *Administrative expenses are calculated for the company in total and then allocated to the branded segments based on each segment's percentage of total branded pairs sold. For accounting purposes and for purpose of profit/loss calculations, no administrative expenses are allocated to private-label sales.*

Apex Athletics
(Industry 1)

Private–Label Operations

Year 13

CONTRACT OFFERS		North America	Europe-Africa	Asia-Pacific	Latin America	Total
Offers to Private Label Buyers	Offer Price ($ per pair)	34.00	38.00	34.00	35.00	
	Pairs Offered (000s)	512 pairs	235 pairs	565 pairs	0 pairs	1,312 pairs
	S/Q Rating	4.6★	4.6★	4.6★	0.0★	
	Number of Models	100	100	100	0	
Offer Accepted / Declined		Accepted	Accepted	Accepted	No Offer	
Pairs Produced / Sold (000s)		512 pairs	235 pairs	565 pairs	0 pairs	1,312 pairs

PRODUCTION AND SHIPPING		North America Facility		Europe-Africa Facility		Asia-Pacific Facility		Latin America Facility		Total (all facilities)	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Production Costs	Materials Costs	4,634	9.05	0	0.00	8,986	11.23	0	0.00	13,620	10.38
	Labor Costs	5,779	11.29	0	0.00	4,606	5.76	0	0.00	10,385	7.92
	Best Practices Training	51	0.10	0	0.00	76	0.10	0	0.00	127	0.10
	Supervisory Costs	127	0.25	0	0.00	124	0.16	0	0.00	251	0.19
	Enhanced Styling / Features	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	TQM/6-Sigma Program	1,270	2.48	0	0.00	1,700	2.13	0	0.00	2,970	2.26
	Production Run Setup	250	0.49	0	0.00	250	0.31	0	0.00	500	0.38
	Facilities Maintenance	360	0.70	0	0.00	736	0.92	0	0.00	1,096	0.84
	Depreciation Expense	1,204	2.35	0	0.00	1,635	2.04	0	0.00	2,839	2.16
	Total Production Costs	13,675	26.71	0	0.00	18,113	22.64	0	0.00	31,788	24.23
Private-Label Production (000s of pairs)	Regular-Time Pairs	0 pairs		0 pairs		0 pairs		0 pairs		0 pairs	
	Overtime Pairs	529		0		850		0		1,379	
	Rejected Pairs	–17 (3.3%)		–0 (0.0%)		–50 (5.9%)		–0 (0.0%)		–67 (4.9%)	
	Net Production	512 pairs		0 pairs		800 pairs		0 pairs		1,312 pairs	
Shipments To (000s of pairs)	N.A. Warehouse	512 pairs		0 pairs		0 pairs		0 pairs		512 pairs	
	E-A Warehouse	0		0		235		0		235	
	A-P Warehouse	0		0		565		0		565	
	L.A. Warehouse	0 pairs		0 pairs		0 pairs		0 pairs		0 pairs	

REVENUES / COSTS / MARGINS		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Private-Label Revenues		17,408	34.00	8,930	38.00	19,210	34.00	0	0.00	45,548	34.72
± Exchange Rate Adjustments		0	0.00	-517	-2.20	-50	-0.09	0	0.00	-567	-0.43
Net Private-Label Revenues		17,408	34.00	8,413	35.80	19,160	33.91	0	0.00	44,981	34.28
Direct Costs	Production Costs	13,676	26.71	5,320	22.64	12,792	22.64	0	0.00	31,788	24.23
	± Exchange Rate Adjustments	0	0.00	294	1.25	0	0.00	0	0.00	294	0.22
	Freight	512	1.00	470	2.00	565	1.00	0	0.00	1,547	1.18
	Import Tariffs	0	0.00	1,410	6.00	0	0.00	0	0.00	1,410	1.07
	Packaging / Shipping	589	1.15	270	1.15	650	1.15	0	0.00	1,509	1.15
Margin Over Direct Costs		2,631	5.14	649	2.76	5,153	9.12	0	0.00	8,433	6.43

Apex Athletics
(Industry 1)

Income Statement

Year 13

CONSOLIDATED INCOME STATEMENT		North America	Europe-Africa	Asia-Pacific	Latin America	Company Total
Segment Revenues	Internet	44,489	40,936	30,574	28,598	144,597
	Wholesale (see Note 1)	124,806	119,327	84,095	103,664	431,892
	Private-Label	17,408	8,930	19,210	0	45,548
Gross Revenues from Footwear Sales		186,703	169,193	133,879	132,262	622,037
± Exchange Rate Adjustments		0	-9,796	-348	-2,676	-12,820
Net Revenues from Footwear Sales		186,703	159,397	133,531	129,586	609,217
Operating Costs	Cost of Pairs Sold (see Note 1)	80,392	79,620	64,858	66,777	291,647
	Warehouse Expenses	15,297	13,327	12,472	10,930	52,026
	Marketing Expenses	38,208	34,160	22,163	25,624	120,155
	Administrative Expenses	5,006	4,328	3,829	3,902	17,065
Operating Profit (Loss)		47,800	27,962	30,209	22,353	128,324
Interest Income (Expense)						-3,963
Other Income or (Expense) (see Note 2)						0
Pre-Tax Profit (Loss)						124,361
Income Taxes (see Note 3)						37,308
Net Profit (Loss)						87,053

Profitability and Payout	Year12	Year13
Earnings Per Share	$4.17	**$4.67**
Dividends Per Share	$0.00	**$2.00**

Note 1: These items also include revenues collected from and costs associated with inventory clearance at the beginning of the year. For more details on inventory clearance, see the last section of the Distribution and Warehouse report.

Note 2: This item includes charitable contributions and/or instructor-awarded refunds and/or instructor-imposed fines (appearing as negative).

Note 3: The income tax rate is 30%. If a net loss was recorded in the prior year, the loss is carried forward and may offset some or all taxable income in the current year and reduce current-year income taxes.

Branded Market Performance

INTERNET MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Revenues from Internet Sales		44,489	88.80	40,936	95.20	30,574	77.60	24,998	86.80	140,997	87.41
± Exchange Rate Adjustments		0	0.00	-2,370	-5.51	-79	-0.20	-520	-1.81	-2,969	-1.84
Gross Internet Revenues		44,489	88.80	38,566	89.69	30,495	77.40	24,478	84.99	138,028	85.57
Customer-Paid Shipping Fees		0	0.00	0	0.00	0	0.00	3,600	12.50	3,600	2.23
Net Internet Revenues		44,489	88.80	38,566	89.69	30,495	77.40	28,078	97.49	141,628	87.80
Operating Costs	Cost of Pairs Sold	13,193	26.33	14,156	32.92	10,552	26.78	9,812	34.07	47,713	29.58
	Warehouse Expenses	6,543	13.06	5,646	13.13	5,193	13.18	3,793	13.17	21,175	13.13
	Marketing Expenses	8,883	17.73	6,022	14.00	4,674	11.86	3,949	13.71	23,528	14.59
	Administrative Expenses	998	1.99	857	1.99	785	1.99	573	1.99	3,213	1.99
Operating Profit (Loss)		14,872	29.68	11,885	27.64	9,291	23.58	9,951	34.55	45,999	28.52
		Year12	**Year13**	Year12	**Year13**	Year12	**Year13**	Year12	**Year13**	Year 12	**Year13**
Segment Statistics	Pairs Sold (000s)	405	**501**	439	**430**	345	**394**	263	**288**	1,452	**1,613**
	Market Share	10.4%	**11.2%**	13.0%	**11.2%**	12.7%	**12.2%**	9.6%	**9.0%**	11.6%	**11.0%**
	Operating Profit Margin	33.1%	**33.4%**	29.4%	**30.8%**	27.2%	**30.5%**	33.2%	**35.4%**	30.8%	**32.5%**

WHOLESALE MARKET PERFORMANCE	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross WHolesale Revenues	124,806	62.00	118,524	68.00	84,095	55.00	103,664	62.00	431,089	61.96
± Exchange Rate Adjustments	0	0.00	-6,863	-3.94	-219	-0.14	-2,156	-1.29	-9,238	-1.33
Net Wholesale Revenues	124,806	62.00	111,661	64.06	83,876	54.86	101,508	60.71	421,851	60.64

WHOLESALE MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Operating Costs	Cost of Pairs Sold	53,011	26.33	57,383	32.92	40,949	26.78	56,965	34.07	208,308	29.94
	Warehouse Expenses	8,165	4.06	7,326	4.20	6,629	4.34	7,137	4.27	29,257	4.21
	Marketing Expenses	29,325	14.57	28,138	16.14	17,489	11.44	21,675	12.96	96,627	13.89
	Administrative Expenses	4,008	1.99	3,471	1.99	3,044	1.99	3,329	1.99	13,852	1.99
Operating Profit (Loss)		30,297	15.05	15,343	8.80	15,765	10.31	12,402	7.42	73,807	10.61
		Year12	**Year13**	Year12	**Year13**	Year12	**Year13**	Year12	**Year13**	Year12	**Year13**
Segment Statistics	Pairs Sold (000s)	2,053	**2,013**	2,366	**1,743**	1,804	**1,529**	1,629	**1,672**	7,852	**6,957**
	Market Share	10.9%	**10.1%**	14.3%	**10.1%**	13.6%	**10.6%**	12.2%	**11.3%**	12.7%	**10.5%**
	Operating Profit Margin	29.7%	**24.3%**	15.7%	**13.7%**	16.9%	**18.8%**	11.1%	**12.2%**	18.9%	**17.5%**

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Apex Athletics
(Industry 1)

Balance Sheet & Cash Flow Statement

Year 13

BALANCE SHEET

ASSETS	$000s
Cash On Hand	49,188
Accounts Receivable (see Note 1)	116,708
Footwear Inventories	5,640
Total Current Assets	171,536
Net Investment in Facilities and Equipment	214,492
Construction Work In Progress (for new space)	0
Production Improvement Options On Order	0
Total Fixed Assets (see Note 2)	214,492
Total Assets	386,028

LIABILITIES	$000s
Accounts Payable (see Note 3)	22,592
1-Year Bank Loan Payable (see Note 4)	0
Current Portion of Long-Term Bank Loans (see Note 5)	9,900
Overdraft Loan Payable (see Note 6)	0
Total Current Liabilities	32,492
Long Term Bank Loans Outstanding (see Note 7)	49,500
Total Liabilities	81,992

SHAREHOLDER EQUITY	Beginning Balance	Change in Y13	$000s
Common Stock (see Note 8)	19,354	-726	18,628
Additional Capital (see Note 9)	78,785	-65,507	13,278
Retained Earnings (see Note 10)	222,333	49,797	272,130
Total Shareholder Equity	320,472	-16,436	304,036
Return On Average Shareholder Equity (see Note 11)			27.9%

Note 1: *Of the $466,832 of wholesale and private-label net revenues reported on the Y13 income statement, 75% was collected in Y13 and 25% will be collected in Y14.*

Note 2: *For more details on fixed asset investment, see the Facilities and Equipment report (page 1 of these Company Operating Reports).*

Note 3: *Of the $90,366 of materials used for footwear production in Year 13, 75% was paid for in Year 13 and 25% will be paid for in Year 14.*

Note 4: *The company's Year 13 interest rate for a 1-year bank loan was 5.2%.*

Note 5: *This item represents the principal portion of all outstanding 5-year and 10-year bank loans due to be repaid in the upcoming year (Year 14).*

Note 6: *Loans for overdrafts are incurred automatically to prevent a negative year-end cash balance at an interest rate that is 2.0% higher than the company's 1-year loan rate.*

Note 7: *Long-term bank loans outstanding:*

Loan Number	Initial Year	Original Principal	Interest Rate	Term	Out-standing Principal	Annual Principal Payment	Year14 Interest Payable
1	Y4	60,000	8.2%	10-yr	0	6,000	0
2	Y9	99,000	7.7%	10-yr	59,400	9,900	4,574
3							
4							
5							
6							
7							
8							
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10							
11							
12							
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14							
15							
16							

Note 8: *There are 18,628k shares of stock issued and outstanding at a par value of $1.00 per share. The authorized maximum number of shares outstanding is 50,000k.*

Note 9: *Additional Capital represents the dollar amount over and above par value that share-holders have paid to purchase new shares of common stock.*

Note 10: *Retained Earnings is a summation of all after-tax profits the company has earned that have not been distributed to shareholders in the form of dividends.*

CASH FLOW STATEMENT

CASH INFLOWS IN YEAR 13		$000s
Beginning Cash Balance (carried over from prior year)		54,911
Cash Inflows	Receipts from Footwear Sales (see Note 1)	605,003
	Bank Loans — 1-Year Loan	0
	5-Year Loan	0
	10-Year Loan	0
	Stock Issue (0 shares issued)	0
	Sale of Production Equipment	0
	Interest Income on Y12 Cash Balance (sobre el saldo de A12)	1,373
	Loan to Cover Overdraft (1-year loan @ 7.2%)	0
	Cash Refund (awarded by instructor)	0
Total Cash Available from All Sources		661,287

CASH OUTLAYS IN YEAR 13		$000s
Cash Outlays	Payments to Materials Suppliers (see Note 2)	87,604
	Production Expenses (excluding depreciation – see Note 3)	120,772
	Distribution and Warehouse Expenses	110,471
	Marketing and Administrative Expenses	137,219
	Capital Outlays — Facility Expansion (new space)	0
	Equipment Purchases	0
	Production Imp. Options	0
	Energy Efficiency Initiatives (RSCC)	0
	Bank Loan Repayment (see Note 4) — 1-Year Loan	0
	5-Year Loans	0
	10-Year Loans	9,900
	Interest Payments — Bank Loans	5,336
	Y12 Overdraft Loan	0
	Stock Repurchase (726 shares repurchased @ $91.23)	66,233
	Income Tax Payments	37,308
	Dividend Payments to Shareholders	37,256
	Charitable Contributions	0
	Cash Fine (assessed by instructor)	0
Total Cash Outlays		612,099
Net Cash Balance (at the end of Year 13)		49,188

Note 1: *This item consists of all internet revenues recorded in Y13, 75% of wholesale and private-label revenues recorded in Y13, and accounts receivable from Y12 sales.*

Note 2: *This item consists of 75% of the cost of Y13 production materials and 25% of Y12 production materials costs due to a 3-month lag in payments to materials suppliers.*

Note 3: *This item includes all Y13 production-related expenses (adjusted for exchange rate cost impacts) except for depreciation (which is a non-cash accounting charge).*

Note 4: *All 1-year loans (including overdraft loans) received in Year 12 were repaid in full in Year 13. Interest on all 1-year loans received in Year 12 was also paid in Year 13.*

SELECTED FINANCIAL STATISTICS

Credit Rating Measures	Interest Coverage Ratio (oper. profit ÷ interest exp.)	32.38
	Debt to Assets Ratio (total liabilities ÷ total assets)	0.21
	Default Risk Ratio (cash flow from ops ÷ principal paymts)	10.95
	Risk of Default (see Note 1)	Low
	Credit Rating (at the end of Year 13)	A+
Current Ratio (current assets ÷ current liabilities)		5.28
Operating Profit Margin (operating profit ÷ net sales revenues)		21.1%
Net Profit Margin (net profit ÷ net sales revenues)		14.3%

Note 11: *The formula for Return On Average Shareholder Equity is:*

$$\frac{\text{After-Tax Profit}}{(\text{Beginning Equity} + \text{Ending Equity}) \div 2}$$

SELECTED FINANCIAL STATISTICS	
Dividend Payout (dividends per share ÷ earnings per share)	42.8%
Cash Flow from Operations (after-tax profit + depreciation)	108,419
Total Principal Payments ($000s to be paid in Year 13)	9,900

Note 1: *A default risk ratio of 4.00 or higher results in a Low default risk, 2.00 to 4.00 results in a Meduim default risk, and below 2.00 results in a High default risk.*

Note: *Because demand and sales figures are rounded to the nearest 1000 pairs, minor anomalies in the company's financial statements may occasionally occur. Any rounding inconsistencies that do appear will be smaller than ±50 and will likely average-out over time. Such rounding anomalies have no significant impact on company performance.*

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